



that may not be in our rational financial interest. Indeed, decisions that enrich us emotionally may impoverish us financially. Behavioural finance is the study of how emotions and cognitive errors can cause disasters in our financial affairs.



Classical Economic Theory v/s Behavioural Economic Theory

The Classical Economic Theory talks about efficiency of the markets and people making rational decisions to maximise their profits. It assumes that the markets are efficient and no one can take advantage of its movements. It also assumes that humans are rational beings and will act to maximise their gains. However behavioural economists believe that the markets are inefficient and human beings are not rational beings.

Consider this example. If you and I were walking down a busy street in Colaba and you said you saw a Rs. 5 coin on the road, I would say it's impossible. So many people walk this road and the markets being efficient someone would have definitely picked it up. But in reality we do come across such instances. This shows that the markets are not as efficient as they seem to be. Further, if we assume that people make rational decisions to maximise profits then how do we explain people giving to charities or throwing a party to celebrate a birthday or an anniversary? Definitely this is not about maximising profits by rational people.

Here's another example of how irrational we can be. The acronym TIPS stands for: To Insure Prompt Service. If tips ensure good service we should be tipping before the service starts. Yet, we give tips at the end of the meal. We even give tips when the service is substandard. Tipping is more a custom. We do it mechanically, unaware that we are behaving irrationally. Yet, in economic theory we are rational beings always intent on maximising our economic status. This is a common mistake we make without realising its pure economic implications.